

Ask Cinderhaven — Why is cash tight when sales are up?

baseline scenario — figures reconcile to Contract-to-Cash Lifecycle

Why is cash tight when sales are up?

Deduction drag is the culprit: 13.2% of every invoiced dollar disappears as deductions before cash arrives — \$6,841,276 deducted across 222 remittances. DSO is 44 days — within range. Worst account: Regional Group at 14.3% deduction rate.

13.2% deduction drag

Key numbers

13.2%	Avg deduction rate \$6,841,276 of \$52,128,777 invoiced
44 days	Avg DSO warning at 45 days
\$6,288,778	Working capital in transit daily revenue $\times$ avg DSO

How this verdict was reached

Deduction drag = $\text{avg}(\text{total_deductions} / \text{gross_amount})$ from fct_retailer_payments. DSO = $\text{avg}(\text{received_date} - \text{delivery_date})$ matched by retailer within 90-day window. Fires when deduction rate > 12% OR DSO > 45 days. Thresholds from Contract-to-Cash Lifecycle.

Go deeper

Contract-to-Cash Lifecycle: </contract-to-cash>

Built by Lailara LLC — data hygiene and analytics consulting for specialty food brands scaling into national retail.
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